Annual Leave Policy

Fictional sample document for this PoC; not a real policy.

1. Purpose and scope

This policy explains paid annual leave at the company. It applies to permanent employees working a five-day week. The leave year runs from 1 January to 31 December. People Operations owns the policy and publishes any approved revision before a new leave year begins. Local employment requirements take precedence when they provide a greater entitlement; employees should ask People Operations to review an apparent conflict before making a booking.

Annual leave is intended for rest and personal commitments. Employees and managers should plan regular breaks throughout the year instead of relying on a large balance in December. A manager must not require an employee to describe private holiday activities as a condition of approving leave. The leave system records dates, balances, and decisions, rather than medical information or personal travel itineraries.

2. Definitions

An eligible day is a day on which an employee would normally work. A working day excludes weekends and company-published public holidays. The line manager is the person recorded as the employee's primary manager in the people directory. People Operations is the team responsible for entitlement calculations and corrections. Carry-over means unused annual leave transferred into the next leave year under section 3.2; it is not an extra annual allocation.

A half-day means half of the employee's scheduled working hours for that day. Part-time employees receive a proportional entitlement recorded in hours. Calendar days include weekends and public holidays, so an advance-notice requirement stated in calendar days is different from an entitlement stated in working days. Employees should check which unit appears in their request before submitting it.

3. Annual Leave

3.1 Entitlement

Full-time employees receive 22 working days of paid annual leave per calendar year, including during their first year. Employees joining partway through the year receive one twelfth of 22 days for each complete month of service, rounded up to the nearest half-day.

The balance becomes available in the leave system after People Operations confirms the start date. An employee may request leave during probation using the normal approval process. Public holidays that fall within an approved leave period do not reduce the annual leave balance. People Operations resolves calculation questions within five working days after receiving the employee's start date and work schedule.

3.2 Carry-over

Employees may carry over up to 5 unused annual leave days into the next calendar year. Carried-over days must be used by 31 March, after which they expire unless the Head of People has approved an exception in writing.

The leave system uses carried-over days before the current year's allocation. Employees submit exception requests by 15 March, describing the operational reason leave could not be taken. A manager's verbal assurance does not extend the expiry date. Approved exceptions state a replacement deadline and are retained with the leave record. Ordinary workload alone does not automatically qualify for an extension.

3.3 Request and approval

Submit annual leave requests at least 10 calendar days before the first requested day. The line manager approves or declines the request in the leave system within three working days, taking account of staffing and previously approved absences.

For five or more consecutive working days, the employee includes a short handover plan identifying an available colleague and urgent deadlines. Employees should wait for written approval before purchasing non-refundable travel. If a request is declined, the manager records a business reason and discusses alternative dates. The approval rule also applies when the employee normally works remotely; a remote work day is still a working day.

4. Changes and records

An employee can ask to cancel approved leave before it begins. The manager confirms that work is available on those dates, then updates the leave system so the balance is restored. If company needs require changing already approved leave, the manager must consult People Operations and the employee before proposing a replacement schedule. This policy does not itself approve reimbursement of personal booking costs.

Employees should check their displayed balance every quarter and report discrepancies to People Operations within 30 calendar days of discovering them. The report should include the dates involved and the approval reference. Managers review team leave plans monthly, without sharing individual balances beyond staff who need them for administration. Questions about travel expense claims belong to the Travel and Expenses Policy, not the annual leave approval process.